Don't discard a flag because it has an unusual volume trend.

Breakout direction. Price can break out in any direction, but expect it to follow the prevailing trend. I'll discuss the breakout direction in Table 34.4.

Duration. Flags are short compared to many other chart patterns. In the case of Figure 34.3, the flag is 12 trading days long. Many times when a flag is very short, such as 3 or 4 days, it appears as a horizontal rectangle—a dark blob in the middle of a fast price trend. You may want to clean your eyewear in case it's a spot on the glass.

I limited the length of flags in my study to 3 weeks, but that is an arbitrary limit.

When selecting a flag to trade, the most important guideline is the rapid, steep price trend (flagpole). If price is meandering up or down and forms a flag, then look elsewhere. The flag must be a place where the stock can take a breather from its rapid pace. Price moves against the short-term trend for several days before continuing on (or not).

Focus on Failures

Like all chart patterns, flags are not immune to failure. **Figure 34.4** shows a flag failure. The flag, while obeying the confines of the two down-sloping trendlines, has a good volume trend. Price should continue higher after the flag completes but does not. Why?

One explanation is that the flag is just too long at 26 days. Sometimes an excessively long flag suggests an impending failure or a weak price move (after the breakout). Trade flags more than 3 weeks long carefully or pass them up entirely. In this example, the flag is not proportional to the flagpole, suggesting the need for caution trading it.